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Principles of Management

MGTS F211

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Course objectives

- ❑ To explain management and business concepts and techniques they will need to manage today's and tomorrow's organizations.
- ❑ To provide students with the best possible understanding of what it means to be a manager confronting change and to best prepare for that reality.
- ❑ The course covers managerial functions, business functions while putting together many small picture presented in each module into one bigger meaningful picture.
- ❑ This approach is supplemented with a module on “Managerial Competencies” that helps to inculcate required managerial skills.



Text Book

**Stephen P. Robbins, and Mary Coulter, “*Management*”,
Pearson Education, 2021, 15th edition**



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COURSE HANDOUT



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Topic

1

Introduction to Management & Organizations

Learning Outcomes

- **Define management**
- **Tell** who managers are and where they work
- **Describe** what managers do
- **Explain** why it's important to study management
- **Describe** the factors that are reshaping and redefining management

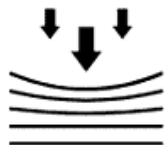
Changing context

- COVID-19 has been called ‘the great pause’ or ‘New normal’ a time for reflection and introspection.
- Post-pandemic or ‘Next Normal’
- VUCA (Volatile, Uncertain, Complex, Ambiguous)
- BANI (Brittle; Anxious; Nonlinear; and Incomprehensible)

Volatile

Brittle
needs

Resilience



Uncertain

Anxious
needs

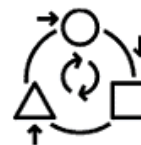
Attentiveness
Mindfulness



Complex

Non-linear
needs

Adaption



Ambiguous

**Incompre-
hensible**
needs

Transparency



-
- Speed
 - Resilience
 - Agility
 - Flexibility
 - Communication
 - Remote working
 - Employee wellbeing and wellness

DEFINITION OF MANAGEMENT

Its Nature and Purpose

Management is the process of getting things done *effectively* and *efficiently*, with and through people.

Emphasizes on accomplishment of selected objectives.

- Management includes the activities of an organization to coordinate the efforts of its employees to achieve organizational objectives using **resources**.

What is an organization?

- A ***structured*** group of ***people*** working together to achieve common set of ***organizational goals*** or ***objectives***.

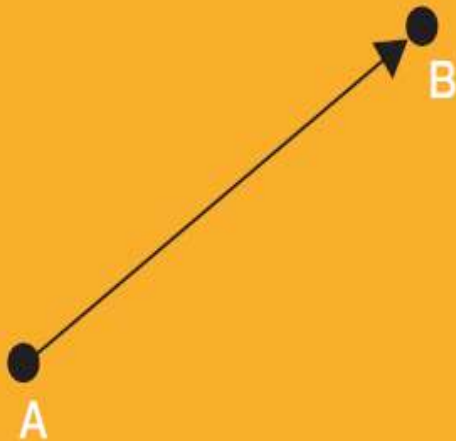


Common Characteristics of Organizations

EXHIBIT 1-1

Three Characteristics of Organizations

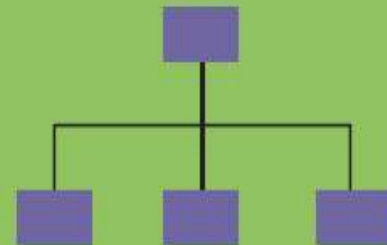
Goals



People



Structure



How Are Managers Different from Nonmanagerial Employees?

- **Managers**

- Individuals in organizations who direct the activities of others.

- **Nonmanagerial Employees**

- People who work directly on a job or task and have no responsibility for overseeing the work of others.
- Examples: associates, team members, **independent contributors**



What Titles Do Managers Have?

- **Top Managers**

- Responsible for making decisions about the direction of the organization.
- Examples; President, **Chief Executive Officer**, Vice-President

- **Middle Managers**

- Manage the activities of other managers.
- Examples; District Manager, Division Manager

- **First-line Managers**

- Responsible for directing nonmanagerial employees
- Examples; Supervisor, Team Leader

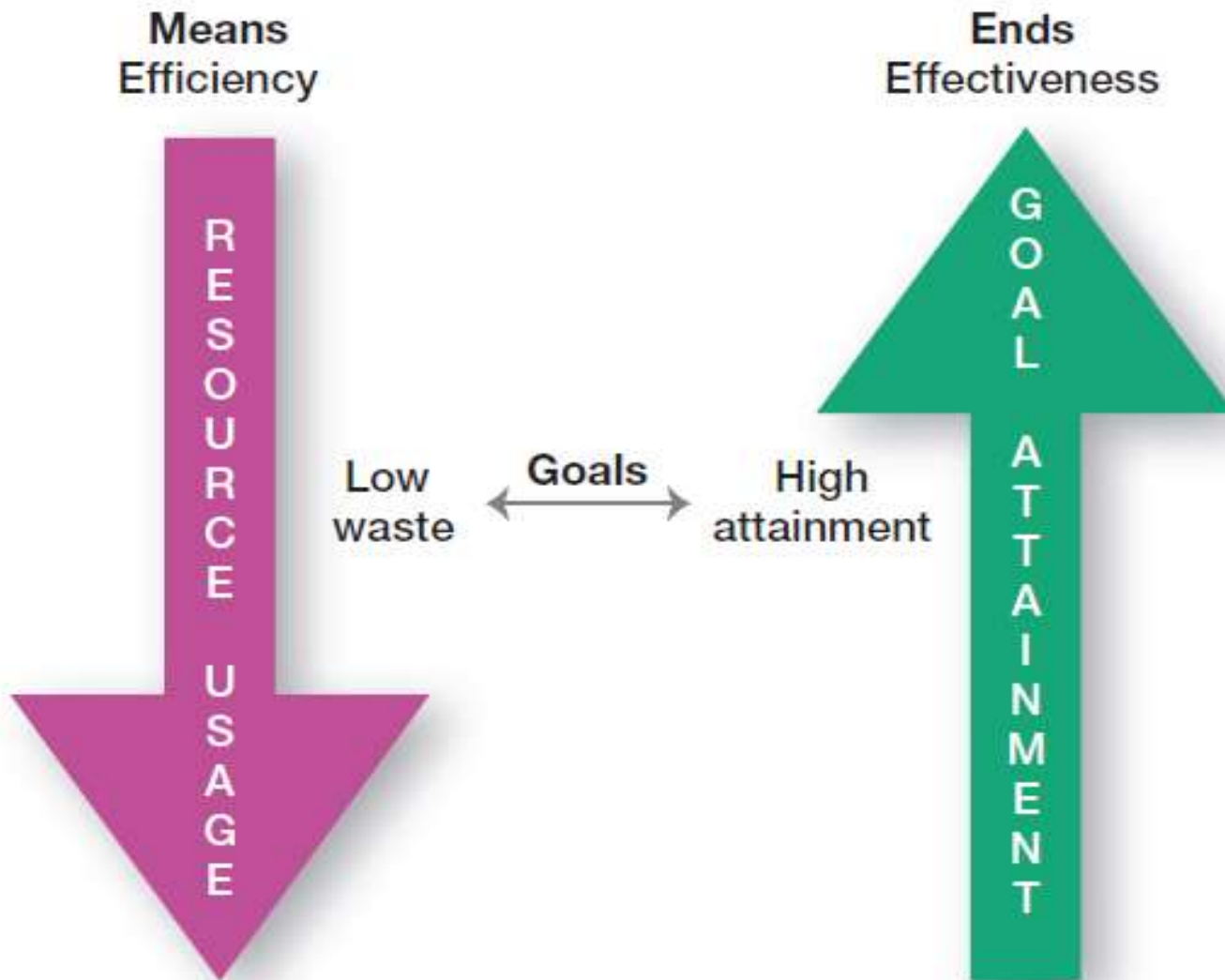
Effectiveness and Efficiency

- **Effectiveness**

- “Doing the right things”, doing those tasks that help an organization reach its goals

- **Efficiency**

- Concerned with the achievement of goals through efficient use of resources like people, money, and equipment

EXHIBIT 1-3**Efficiency and Effectiveness**

Scenario

- Two competing consumer electronics companies—**Company A** and **Company B**—face declining customer satisfaction due to delayed after-sales service. **Company A** responds by redesigning its service strategy: it invests in technician training, decentralizes decision-making, and introduces customer-centric service standards focused on first-time resolution. Although these initiatives increase short-term costs and require more managerial effort, customer complaints reduce significantly and brand loyalty improves over time.
- **Company B** focuses on reducing service costs and processing time by automating call handling, standardizing responses, and limiting service duration per customer. These measures allow the company to handle a higher volume of service requests with fewer resources and lower operational costs. However, customer satisfaction shows only marginal improvement because underlying service quality issues remain unresolved.

Scope of management

- Management applies to small or large organizations, to profit and not-for-profit enterprises, to manufacturing as well as service industries.

Managing: Science Or Art?

Managing as practice is an art; the organized knowledge underlying the practice may be referred to as a science.

Managerial functions at different levels

- No basic distinction is made between managers, executives, administrators, and supervisors
- All managers carry out managerial functions. However, the time spent for each function may differ

What Do Managers Do?

In the functions approach proposed by French industrialist Henri Fayol, all managers perform certain activities or functions



Management Functions

- ***Planning***
 - Defining the organizational purpose and ways to achieve it
- ***Organizing***
 - Arranging and structuring work to accomplish organizational goal
- ***Staffing***
 - Management of personnels
- ***Leading***
 - Directing the work activities of others
- ***Controlling***
 - Monitoring, comparing, and correcting work performance

Managerial Skills & Organizational Hierarchy

The four skills are:

- Technical
- Human
- Conceptual
- Design skills

The Goals of All Managers and Organizations

The aim of all managers should be to create a *surplus*. Thus, managers must establish an environment in which people can accomplish group goals with the least amount of time, money, materials, and personal dissatisfaction.

What Roles Do Managers Play?

Henry Mintzberg highlighted following roles-

- **Interpersonal Roles**

- Figurehead, Leader, and Liaison

- **Informational Roles**

- Monitor, Disseminator and Spokesperson

- **Decisional roles**

- Entrepreneur, Disturbance Handler, Resource Allocator and Negotiator

EXHIBIT 1-5**Mintzberg's Managerial Roles****INTERPERSONAL ROLES**

- Figurehead
- Leader
- Liaison

**INFORMATIONAL ROLES**

- Monitor
- Disseminator
- Spokesperson

**DECISIONAL ROLES**

- Entrepreneur
- Disturbance handler
- Resource allocator
- Negotiator



What Skills Do Managers Need?

Robert Katz and others describe four critical skills in managing

- **Conceptual Skills**
 - Used to analyze complex situations
- **Interpersonal Skills**
 - Used to communicate, motivate, mentor and delegate
- **Technical Skills**
 - Based on specialized knowledge required for work
- **Political Skills**
 - Used to build a power base and establish connections

Is The Manager's Job Universal?

The previous discussion describe management as a generic activity. In reality, a manager's job varies with along several dimensions

- **Level in the Organization**

- Top level managers do more planning than supervisors

- **Profit vs. Nonprofit**

- Management performance is measured on different objectives

Cont'd..

- **Size of the Organization**

- Small businesses require an emphasis in the management role of spokesperson

- **National Borders**

- These concepts work best in English-speaking countries and may need to be modified in other global environments



Why Study Management?

- All of us have a vested interest in improving the way organizations are managed
- Organizations that are well managed find ways to prosper even in challenging economic times
- After graduation most students become managers or are managed

35 percent of employees quit their jobs because they were unhappy with management.

69 percent of workers at all levels of the organization said they wouldn't want their boss's job.

2.6 percent of *Fortune* 500 companies have a female CEO.

30 percent of employees asked to characterize their relationship with their boss said "my boss is my friend"; 5 percent said "parent figure."

48 percent of workers surveyed said their jobs would be more difficult if they did not work in the same office as their supervisors.

70 percent of the difference in workplace climate from one organization to another can be attributed to a front-line manager's behavior.

30 percent of white-collar workers think incompetence is what makes for a bad boss.

In the United States, women are 51 percent of the population, but just 36 percent of managers; in mainland China, 91 percent of companies have women in senior management positions.

What Factors Are Reshaping and Redefining Management?

Welcome to the new world of management!

Today managers must deal with

- Global economic uncertainties
- Changing technologies
- Remote working
- Digitization, automation, and changing views of jobs/careers
- “NextGen work”—the next generation of work, defined as part-time, freelance, contract, temporary, or independent contract work—is predicted to continue to rise.

Management Issues

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“We’ve got 57 team managers, 36 project coordinators, and 63 concept implementors—not bad for a company with only 18 employees!”

Readings

<https://www.itcork.ie/covid-19-evolved-role-manager>

<https://www.forbes.com/councils/forbesbusinesscouncil/2023/10/26/how-management-has-changed-since-covid-19/>

<https://www.batterman.ch/en/vuca-is-dead-long-life-bani/>

Thank you
for
listening!



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